EXERCISE 1: INCREMENTAL BUDGET

Stylez is a barber shop, preparing its income statement for year 20x2. Stylez has provided you with the 20x1 income statement with additional information for budgeting 20x2.

	20x1	*Add. info*
Revenue	135,000	*1*
Expenses:		
Staff salary	73,200	*2*
Service commission	18,000	*3*
Utilities	5,000	*4*
Rent	10,000	*5*
Net operating income	**28,800**	

Additional information:

1. In 20x1, haircuts are priced at $15 per cut. In 20x2, Stylez is increasing the price by $1. Number of haircuts are projected to increase by 10%.
2. In 20x1, there are 2 junior barbers with monthly salaries of $1,800 each, and a senior barber with a monthly salary of $2,500. In 20x2, a 5% salary increment is expected across the board, with 1 junior barber promoted to senior barber.
3. In line with market rates, service commissions on haircuts will increase to $2.50 per haircut in 20x2.
4. In 20x1, utilities are 10% fixed and 90% variable. In 20x2, fixed portion will remain unchanged from 20x1 while the variable portion will increase proportionally to the total operating hours. Total operating hours for 20x2 will increase to 2,430 hours from 2,025 hours in 20x1.
5. Rent will increase by 10% in 20x2.

Prepare the budget income statement for Stylez in 20x2.

	20x1	**20x2**	***Workings***
Revenue	135,000		
Expenses:			
Staff salary	73,200		
Service commission	18,000		
Utilities	5,000		
Rent	10,000		
Net operating income	**28,800**		

EXERCISE 2: MASTER BUDGET

Alpha Co received the sales budget for the upcoming year. The budgeted selling price is $100 per unit.

January	$250,000
February	$200,000
March	$300,000

Based on the historical cash collection experience, Alpha expects the following:

- 30% of its total sales are cash sales. 70% are credit sales.
- Of the credit sales, 60% of the credit sales is collected in the next month and 35% is collected 2 months from the month of sale.
- The remaining credit sales will be uncollectible.

Calculate the budgeted cash collection for March.

Alpha Co also received inputs from the other departments.

- To ensure adequate finished goods, Production will always keep 10% of the next month's budgeted sales quantity in their finished goods.
- To ensure adequate direct materials, Purchasing will always keep 30% of raw materials required for the next month's production in their raw material inventory. Purchasing has budgeted that direct material cost $2 per unit.

Compute the direct raw materials inventory balance in dollars, as at end January.